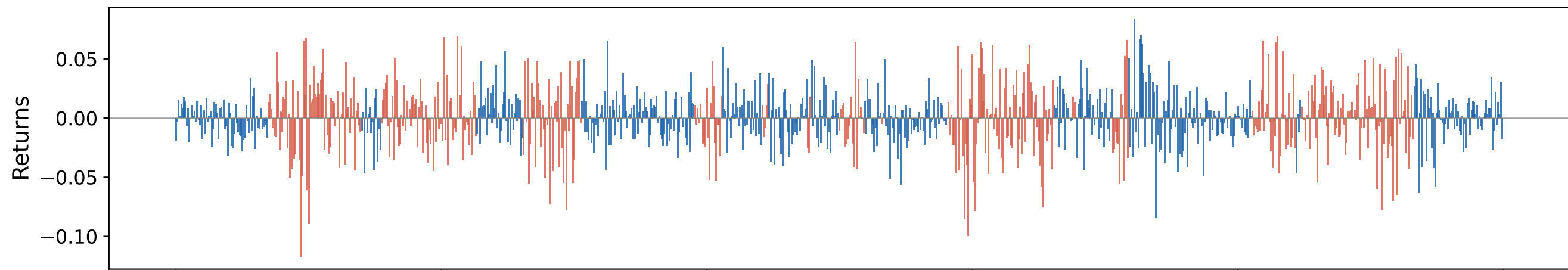
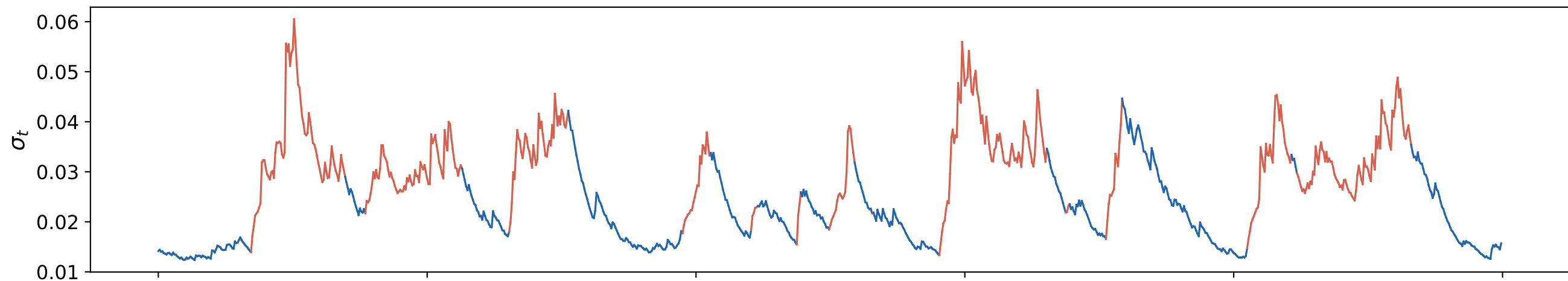


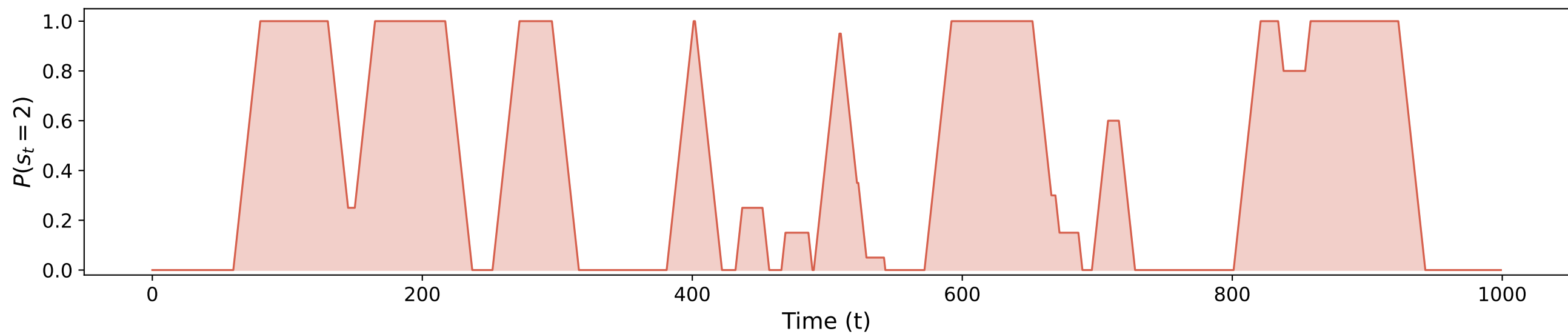
Simulated returns: calm regime (blue) vs turbulent (red)



Conditional volatility σ_t by regime



Turbulent regime probability $P(s_t = 2)$



■ Calm regime ($s_t = 1$) ■ Turbulent regime ($s_t = 2$) — $P(s_t = 2)$